



Cliff Notes: searching for signal

[#cliffnotes](#)[#rba](#)[#australia](#)[#inflation](#)[#us](#)[#fomc](#)[#ecb](#)[#aud](#)[#usd](#)

By [Sian Fenner](#), [Ryan Wells](#) & [Illiana Jain](#)

13:33 October 02 2026

 Share

Key insights from the week that was.



In Australia, this week's main event was the RBA Monetary Policy Board's (MPB) decision to raise the cash rate by 25bps to 4.60%. This outcome was universally expected given Governor Bullock had already communicated that upside risks to inflation had materialised – the conditionality established by the MPB back in August for considering another rate hike.

Governor Bullock made explicit note of three upside risks. The Middle East conflict was emphasised as the risk that had “materialised”, given the re-escalation and renewed surge in crude oil and refined product prices over recent months. The RBA’s liaison warns this could lead to further pass-through of costs and more persistent inflation pressures. On top of this, domestic capacity pressures and the data centre/AI investment boom were also noted as upside risks that the MPB remain alert to.

In a video update mid-week, [Chief Economist Luci Ellis](#) explains why the bar for a follow-up rate hike in November is low. We now expect a 25bp increase in November, provided there is no sudden resolution of the Middle East conflict beforehand, or some other event that significantly lowers the outlook for energy-related costs.

Subsequently, the [August CPI](#) revealed that underlying (trimmed mean) inflation rose 0.2% (3.4%yr), which was slightly below the market’s expectation but spot on Westpac’s forecast. As usual, the monthly detail was mixed, but the key drivers of underlying inflation remain centred on housing-related components, particularly rents and new dwelling purchases. Headline inflation remained volatile, with the unwind of the fuel excise cut causing another spike in fuel prices. We have maintained our forecast for a 0.9% lift in trimmed mean inflation in Q3, and with upside risks building for Q4, a follow-up rate hike in November appears most likely.

Regarding the current growth pulse, [household spending](#) surprised with a flat reading in August. Services spend fell back following recent strength that was driven by major sporting events, but this was offset by an increase in goods spend, particularly in fuel and electric vehicles. Together with our latest card data for early September, the consumer spending pulse is shading a touch softer. However, another solid outcome for business investment could once again be on the cards for Q3. August’s [goods trade](#) data showcased another significant spike in data centre-related equipment imports, up \$4.3bn, similar in scale to Q1. While clearly import-driven, our modelling suggests that the local economic impact of such investment is likely to be around half of the total investment.

Before moving offshore, a final note on housing. [Cotality’s](#) latest update revealed that dwelling prices fell another 1.1% nationally in September. While Sydney and Melbourne have led the correction to date, the fact that the other capitals are also reporting price declines clearly indicates that the correction is deepening and broadening, as higher interest rates collide with the tax policy changes announced in May’s budget. Sentiment effects indeed remain at play, as evinced by the continued pull-back in investor [credit growth](#). Westpac anticipates a peak-to-trough decline of around 7%, with [tight on-market supply](#) limiting the extent of the correction. For more, see our latest [Housing Pulse](#).

Offshore, there was plenty of data to dissect.

In the US, inflation eased in August despite ongoing strength in household demand and higher energy prices. Headline PCE inflation rose 0.3%*month* and 3.4%*year*, while core PCE increased 0.2%*month* and 3.0%*year*. Encouragingly for the FOMC, the share of PCE components rising by more than 3% over the past year, a measure frequently cited by Fed Chairman Kevin Warsh, declined to 45% from 49%, suggesting some easing in broad-based inflation pressures. At the same time, household spending remained robust, increasing 0.9%*month*, equivalent to around 0.6%*month* in real terms. That said, personal income growth was soft, rising 0.2% in the month, signalling households opted to draw down savings.

The ISM manufacturing survey was stronger than the headline suggested. While the index edged down 0.1pt to 54.5, manufacturing has now expanded for nine consecutive months. There were some signs of capacity constraints emerging, with production softened in the month but backlogs up 4.6pts to 56.4, suggesting that firms struggled to keep pace with demand. New orders rose 1.6pts to 55.3, primarily due to domestic demand as new export orders eased, backlogs increased. Firms responded by lifting employment, 1.5pts to 52.7. Against this backdrop manufacturers saw a renewed acceleration in cost pressures, with the prices paid index jumping 6.8pts to 77.9. Firms cited higher steel and aluminium prices, elevated energy costs, rising freight charges and ongoing semiconductor shortages, with every major industry reporting higher input costs during the month.

The past week's data will have done nothing to bridge the clear divide across the FOMC, as evident in this week's busy FedSpeak. Some participants argued for further rate hikes, citing strong inflation, diminished supply capacity and policy that is not yet restrictive. Others counselled patience, pointing to progress on inflation and that September's hike buys time to assess upcoming data. The one thing both agree on is that inflation will be the primary determinant of the timing and extent of further rate hikes. Our view remains that one further hike is likely this cycle to bring policy closer to neutral.

In China, policymakers announced another round of targeted support measures aimed at stabilising growth and supporting the struggling property sector. The PBOC lowered rates on its Pledged Supplementary Lending facility by 25bps to 1.5% and expanded quotas for targeted lending programs. Authorities also introduced subsidies for eligible first-home buyers. The subsidy applies to homes with a floor area of 120m² or less and a value below CNY1.5mn, with support capped at 1ppt of mortgage costs, up to CNY10,000 and for a maximum term of five years. The measures complement reforms announced in August to improve developer financing conditions and support housing completion. However, weak credit demand and confidence remains a significant constraint, suggesting policy transmission is still limited.

The September PMI data pointed to a modest improvement in activity, although the details were less convincing. Manufacturing returned to expansionary territory, rising 0.9pts to 50.1, supported by stronger production and new orders. Much of the improvement, however, reflected a rebound in prices, with the raw materials price index rising 7.6pts and producer prices increasing 6.2pts. Labour market conditions remained weak, with the employment index falling a further 0.6pts and remaining below 50 for almost four years. Conditions in the non-manufacturing sector also improved, with the services PMI lifting from 49.0 to 50.2, driven largely by stronger construction activity. Input and output prices moved higher, selling prices returned back above 50, export orders improved to 48.5 and employment increased 0.5pts, although at 45.9 it remains firmly in contractionary territory. Overall, the surveys suggest activity is stabilising and policy support is gaining some traction, but weak labour demand, subdued credit growth and soft domestic demand indicate the recovery remains fragile.

In Japan, the September Tankan survey delivered another constructive signal on the economy and reinforced the case for further policy normalisation. Business conditions improved by 2pts for large manufacturers and 5pts more broadly, while profitability indicators strengthened and capital expenditure intentions remained elevated. Large manufacturers expect fixed investment to increase by 11.6% in FY2026, while large non-manufacturers expect investment growth of 11.2%, pointing to

continued confidence in the medium-term outlook.

Capacity indicators improved further across both manufacturing and non-manufacturing sectors, with measures of excess production capacity becoming less negative and indicating that demand remains sufficiently strong to keep pressure on existing capacity. Labour shortages also intensified, with employment conditions becoming more negative across most industries and firm sizes, pointing to a progressively tighter labour market. Inflation expectations remained anchored around 2%, providing further evidence that Japan is moving towards a more sustainable inflation environment. Overall, the survey was consistent with an economy operating close to capacity and supports the view that a December rate hike remains a realistic possibility.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#Cliffnotes

Cliff Notes: mulling the minutes

October 09 2026 • ⌚ 5 mins

By [Sian Fenner](#), [Ryan Wells](#) & [Illiana Jain](#)



#cliffnotes

Cliff Notes: the importance of supply

September 25 2026 • ⌚ 5 mins

By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)



#cliffnotes

Cliff Notes: seeking to instil trust

September 18 2026 • ⌚ 5 mins

By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

Browse topics

[#aud](#)

[#australia](#)

[#interestrates](#)

[#nzd](#)

[#usd](#)

[#newzealand](#)

[#rates](#)

[#credit](#)

[#yieldcurve](#)

[#acgb](#)

[#semigovernment](#)

[#inflation](#)

[#rba](#)

[#basis](#)

[#commodities](#)

[#ustreasury](#)

[#fx](#)

[#jpy](#)

[#rbnz](#)

[#abs](#)

[Show more tags](#)

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.